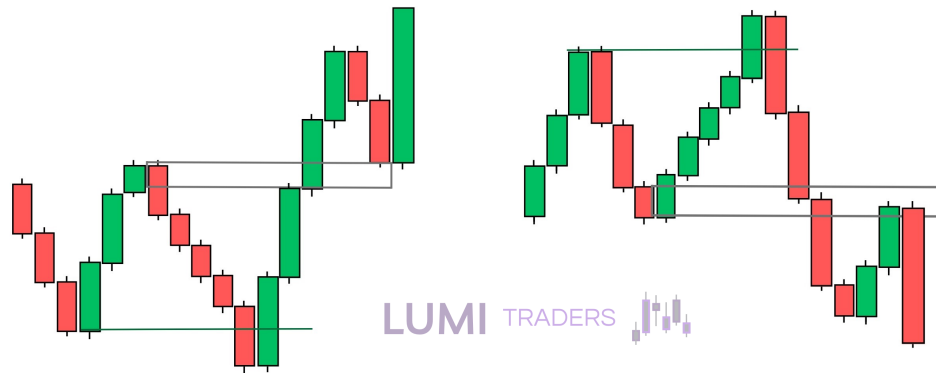


Breaker Block

Breaker block is so-called an order block (OB) broken by a strong impulse without a pullback reaction. A prerequisite for the formation of a breaker block is to break the last high or low, depending on the trend.



You can understand what a breaker block is by carefully studying impulse candles. If you find a bullish or bearish order block that has been broken, and liquidity has been removed from the high or low, then a reversal pattern – a breaker – will begin to form.

The purpose of a Breaker Block is to create a price movement with manipulation to gather liquidity towards important highs or lows, followed by a breakout in the opposite direction. During this process, a popular trading setup called Stop Hunt is formed. Stop Hunt involves manipulating the price to trigger buystops or sellstops orders.

STOP HUNT is a smart money practice that happens very often. Imagine this: the market moves straight to your stop loss, hits it, and immediately turns in the other direction - you are stopped out. The name of all this is to stop the hunt.

Smart money uses this method to take their positions at the price they want, in the best possible way for themselves. By manipulating the price, they will force you to go in a certain direction, and then swallow your position abruptly. It is worth being alert if the liquidity zone is very large and pronounced. There is a high chance that smart money will target this particular zone, especially if it is against the main trend.

The Breaker Block operates on a similar principle as OB, but the reaction from the BB occurs only after a strong impulse penetration. Once the Stop Hunt movement has manipulated liquidity and led to a trend change, large capital often returns the price to the breaker block zone for retesting. This is done to close unprofitable positions after manipulation.

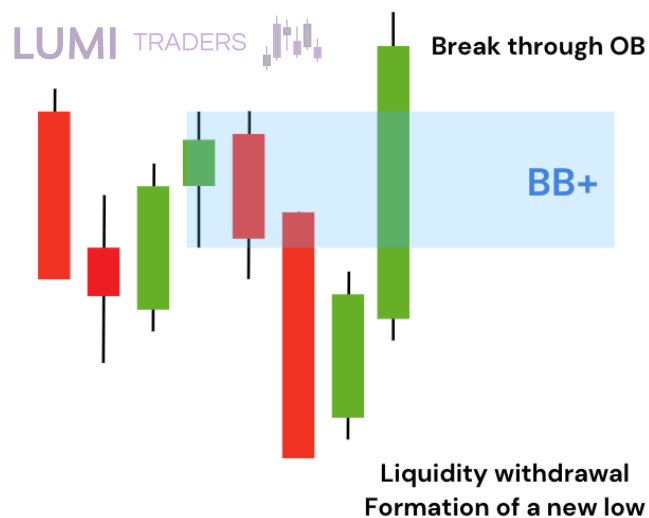
To gain a better understanding of the Breaker Block, it is crucial to analyze the impulse candles on the chart accurately. For example, if we observe that a Bullish or Bearish OB has been broken through, taking liquidity from a high or low level, it may indicate a potential trend reversal, which is known as a Breaker Block.

BUT! Despite its name, a breaker block in trading is not necessarily a reversal pattern, it can signal the continuation of a trend. To determine the trend of the market, you need to consider the formation of higher highs (HH) and higher lows (HL) for a bullish trend and lower lows (LL) and lower highs (LH) for a bearish one. A breaker is formed after the formation of a new HH or LL during an impulse breakout of an order block.

Bullish and Bearish Breaker Block

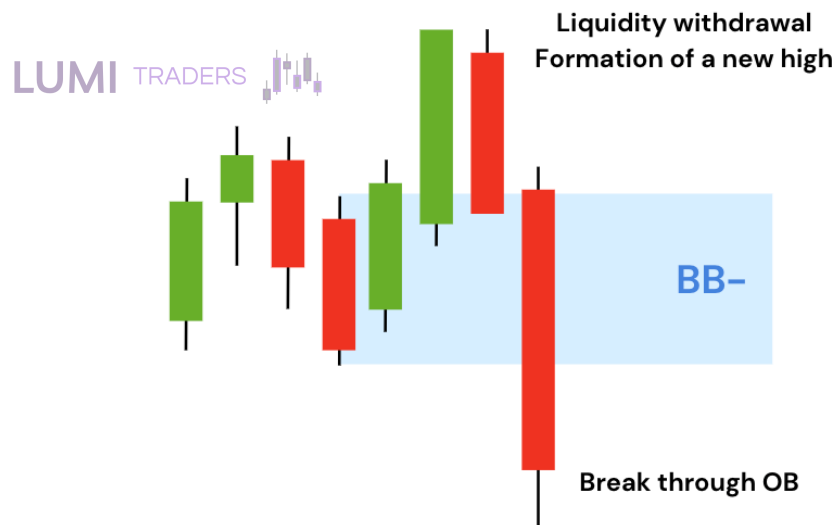
Let's analyze the bullish and bearish breaker blocks separately:

Before **a Bullish Breaker** can form in the market, liquidity needs to be taken. To change the direction of the trend in the market, an impulsive update of the low is required, and to continue the uptrend, an impulsive grab of liquidity from the HL level is required. After the price moves in the opposite direction, an impulsive breakout of the OB should be expected.



Before a **Bearish Breaker** enters the market, liquidity is taken from the previous trend element. If the trend is down, then the momentum occurs at the LH level, and if the trend changes from rising to falling, then the momentum occurs at the HH level.

To confirm a bearish breaker, you need to wait for a change in the direction of price movement and an impulse breakout of the order block.



Let's think why breaker blocks work:

First, a major player knocks out stop-losses below a low to take a position. The buyers placed their stops there. Which need to be picked up. That is, a large player opens a sell position before this, just in the place where we will have a Breaker Block, initially it was OB in a downward direction.



There is a breakdown and holding above this low, thereby showing the situation that everything now we have the market intends to go in a downward direction. At this point, a major player has successfully entered a buy position by removing stops. We no longer have buyers, now there are sellers. And the price at this moment goes in the opposite upward direction. Sellers will set stop losses beyond a significant high. The task of a major player is now to take these stops beyond the high.

Right now, we still have OB in the downward direction, upon breakdown, the price impulsively breaks the structure, it is important that the price does not try to fight off this OB, otherwise, after the breakdown, we do not consider a BB. So, there was a breakdown with a change in the descending structure to an ascending one, now we have a breaker block formed from the former OB.



So now a major player has 2 positions, the first position was opened in the breaker block for short - it is unprofitable, the second position was opened for long in the place where liquidity was taken.

It is necessary to close the unprofitable sell position, so the price pulls back to the BB zone.



BUT! Despite its name, a breaker block in trading is not always a reversal pattern, it can signal the continuation of a trend. To determine the trend of the market, you need to consider the formation of higher highs (HH) and higher lows (HL) for a bullish trend

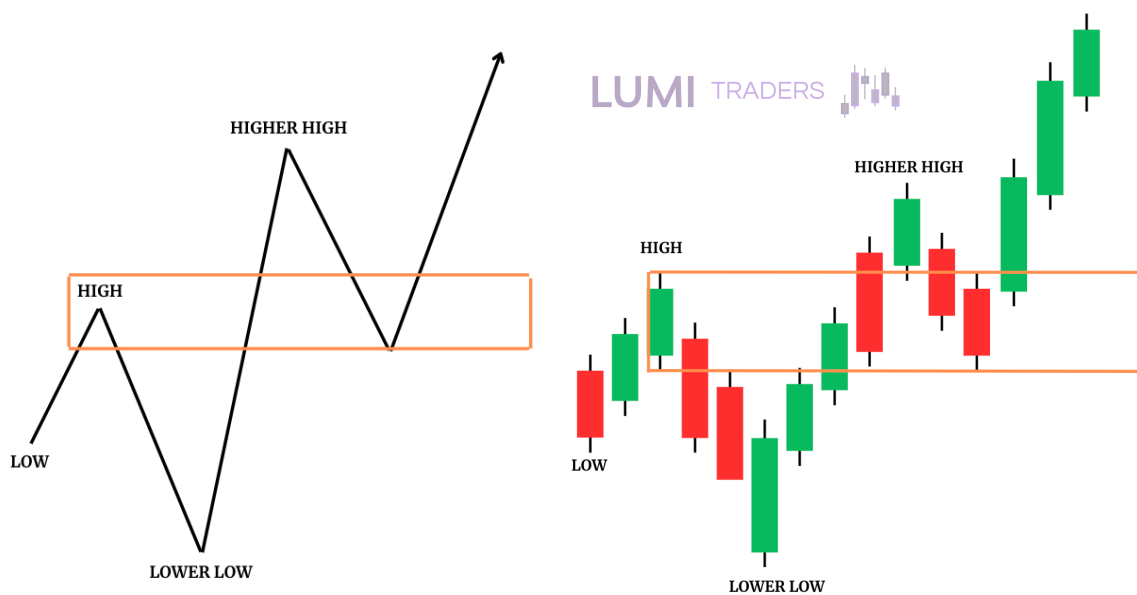
and lower lows (LL) and highs (LH) for a bearish one. A breaker is formed after the formation of a new HH or LL during an impulse breakout of an order block.

A bullish breaker block is formed on a downtrend. After the upward momentum, speculators go long on the blue zone retest.

Bullish Breaker – a bullish range or up-close candle in the most recent Swing High prior to an Old Low being violated. It becomes valid once stops are taken below a previous low and breaks above the Swing High that contains the breaker candle.

To identify bullish breakers, traders must first identify a failed bearish order block. This happens when liquidity is taken to the downside, later causing the bearish order block to fail. Once identified, traders can take advantage of these bullish breakers by entering the market and taking advantage of price reversals.

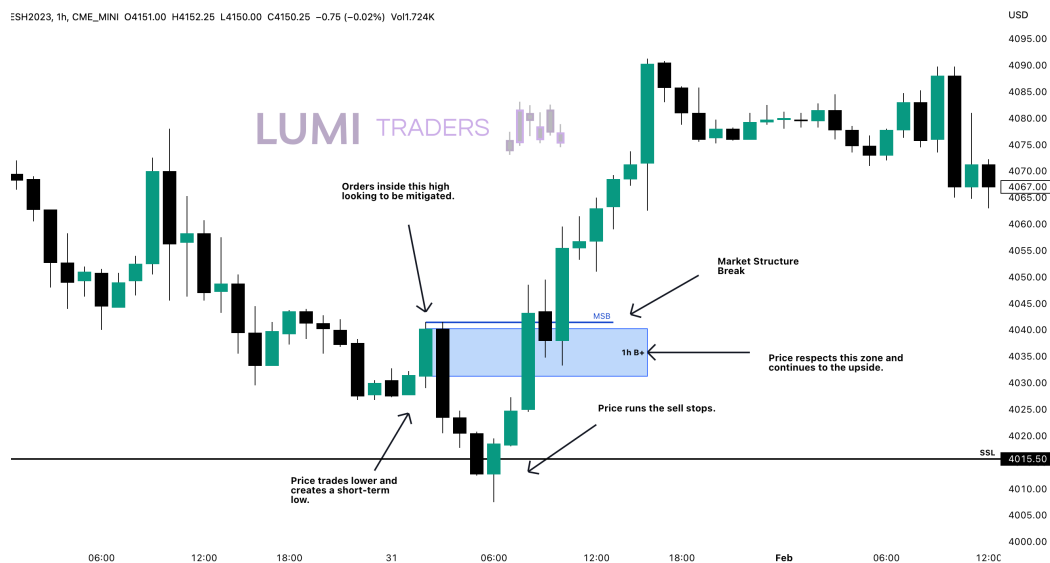
Key Elements – Low – High – Lower Low – Higher High.



The diagram above illustrates a bullish breaker, which occurs when a bearish order block fails to act as a resistance level and liquidity is taken to the downside. This results in a market structure break, which confirms the bullish breaker, allowing price action traders to anticipate the trend to continue in the new direction.

Pay close attention to the "Higher High" as it holds great importance. When the price closes above this level, it suggests a strong desire for the price to keep rising. Similarly,

take note of the "Lower Low" because it acts as a stop run and implies that the price is likely to move higher.

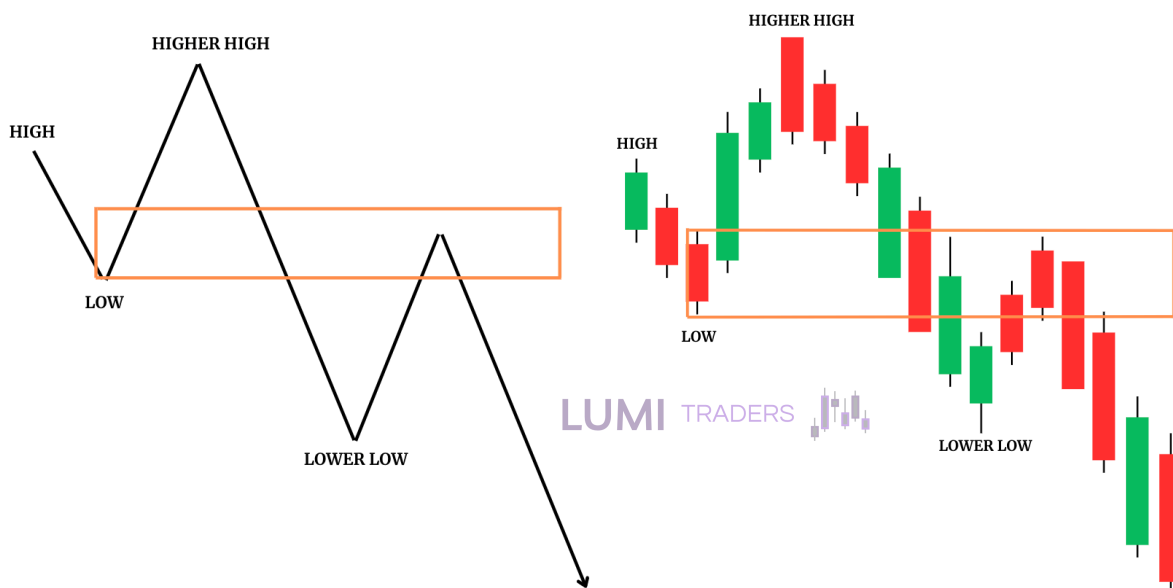


An aggressive stop immediately below the breaker block. We will get an excellent risk-to-reward ratio. But such a stop will very often taking out. A conservative stop rarely attracts price, it is safer, but the risk / reward ratio with this order placement is less attractive compared to an aggressive one. Placing a conservative stop at short-term low.

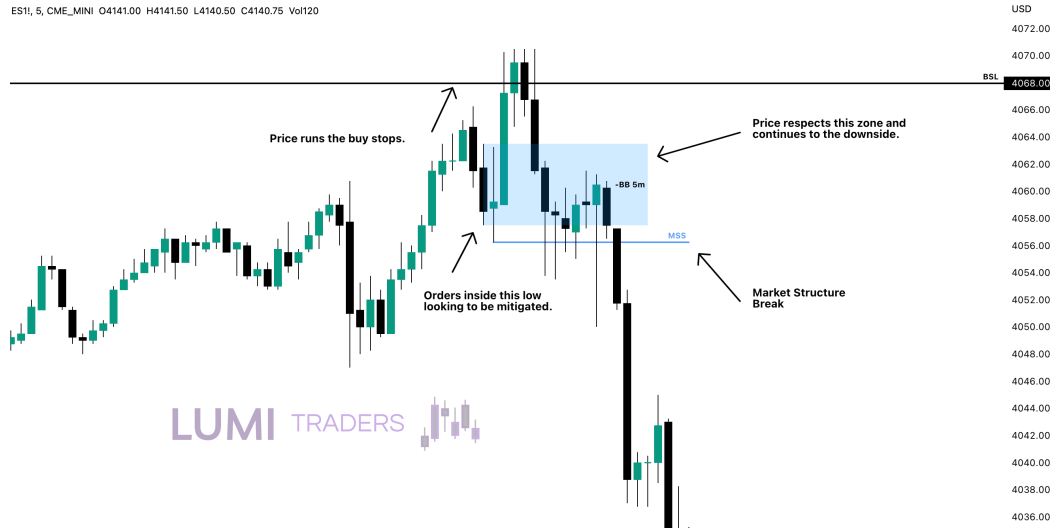
Bearish Breaker – a bearish range or down-close candle in the most recent swing Low prior to an Old High being violated. It becomes valid once stops are taken above a previous high and breaks below the swing low that contains the breaker candle.

To identify bearish breakers, traders must first identify a failed bullish order block. This happens when liquidity is taken to the upside, later causing the bullish order block to fail. Once identified, traders can take advantage of these bearish breakers by entering the market and taking advantage of price reversals. Below is an example of a Bearish Breaker.

Key Elements – High – Low – Higher High – Lower Low.



"Higher High" acts as a stop run, indicating that the price is likely to go lower. Similarly, the "Lower Low" plays a significant role. When the price closes below this level, it signifies a strong indication that the price intends to continue its downward movement.



We can consider only bodies to find a breaker because news candle can have long wicks or regular candle can have small body (in this case we can consider breaker as entire candle).



Breaker's task is to make a price move with manipulation to collect liquidity towards significant highs and lows, followed by a break in the opposite direction.

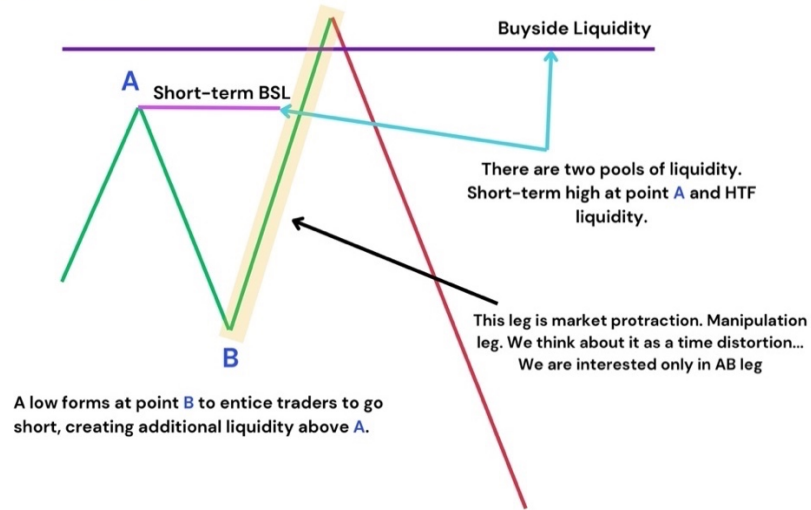
Advanced Theory On ICT Breaker

To confirm your bias or add to existing positions, it is essential to explore various points of reference. ICT mentions the concept of "order blocks" and how they can be used as reference points for trading.

These order blocks, also known as ICT Breakers, can be identified by observing the high and low points of a given range. By measuring the range and analyzing the gradients within it, you can determine potential entry and exit points.

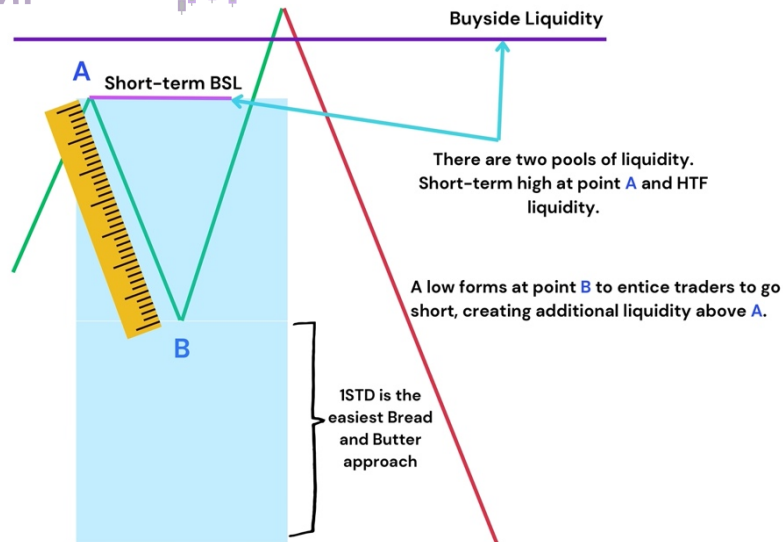
Why did I say order block is breaker? Because a Breaker Block is OB broken through by a powerful impulse, without bouncing from it. The main condition for the formation of a breaker block is that the high or low is broken depending on the trend - that is, that liquidity is taken.

Bearish Breaker



We anticipate the higher time frame to move lower, indicating a sell model.

LUMI TRADERS



If we examine the diagram here, we can identify a bearish breaker. It is important to note that this is not a break and retest setup. Instead, it provides a schematic understanding of how liquidity runs and results in a repricing lower. To effectively use the breaker, we need to determine the current liquidity levels.

There are two ways to approach the breaker. In this case, it is a bearish breaker that offers an additional entry point or reference for adding new short positions when we anticipate a market drop.

This particular setup capitalizes on pending orders. It takes advantage of situations where stops are hit, followed by a move in our favor, targeting retail traders who seek trend continuations without considering liquidity and market narrative. These traders often find themselves trapped in unfavorable positions.

To fully understand the breaker, we must consider two stages of liquidity.

The first stage involves short-term buy-side liquidity above the short-term high. However, the breaker pattern seeks to reach higher time frame buy-side liquidity. We observe the market's behavior to determine if it runs away from the initial liquidity pool. Inside the price range from point A to point B, we find our target.

For this model, we utilize the price range from point A to point B. Once the market creates a run and starts to decline, we can take a bearish stance. This means we are expecting lower prices and have already initiated short positions. When the price runs above the buy signal, it may not be our largest position. We might scale in with a larger portion. For example, if we were trading ES, we would start with six contracts (ICT uses mini, but we consider micro contracts), add three more, and then add one additional contract, resulting in a 10-lot position.

This scaling approach allows us to manage potential drawdowns if the market quickly reverses after reaching our initial target. Please note that this method may not suit everyone, but it aims to enhance understanding of the breaker pattern and counteract misguided teachings prevalent on YouTube and in various courses.

A to B price range: By calculating the Fibonacci levels based on this range, we can determine our entry points. You take that leg from the high down to the low and lay your Fibonacci on it. Taking one standard deviation lower from this range is the easiest and most straightforward approach to using the breaker. This approach applies when we are on the correct side of the trade and have a clear understanding of our objectives and the prevailing market conditions.

If you're on the bullish side and in a bigger market, you don't need it to come down to this level and trade back up. Many times, ICT annotates a breaker and enters at a lower

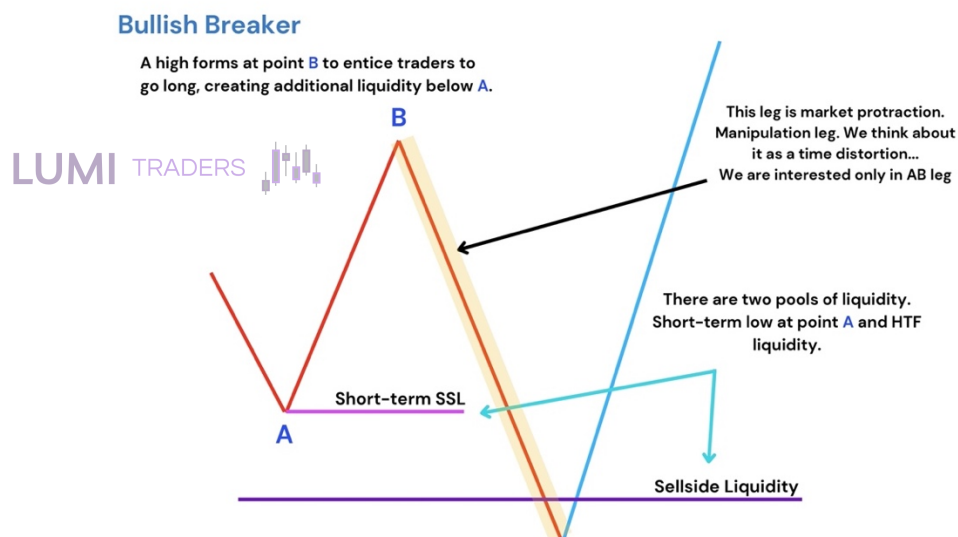
price before it even breaks out, as he is not a breakout trader or a break and retest trader.

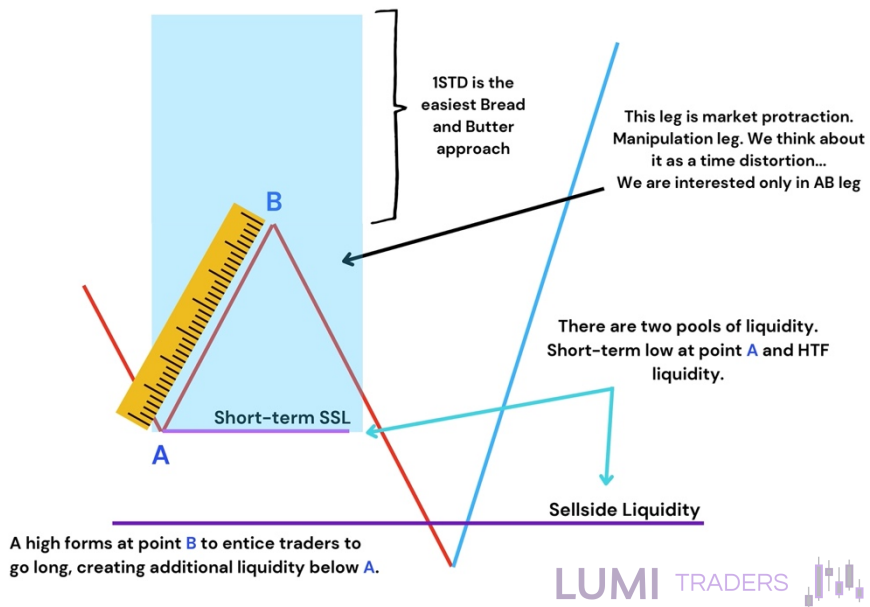
Now, let's address the concern of going short here and it is going right up or hitting the stop loss. If that happens, it means the trade didn't work out, and you take a loss.

However, you can consider whether it still wants to go lower. If it does and nothing has changed, you can re-enter with half the position size of your first trade. It's normal to experience losing trades, and you won't be able to avoid them.

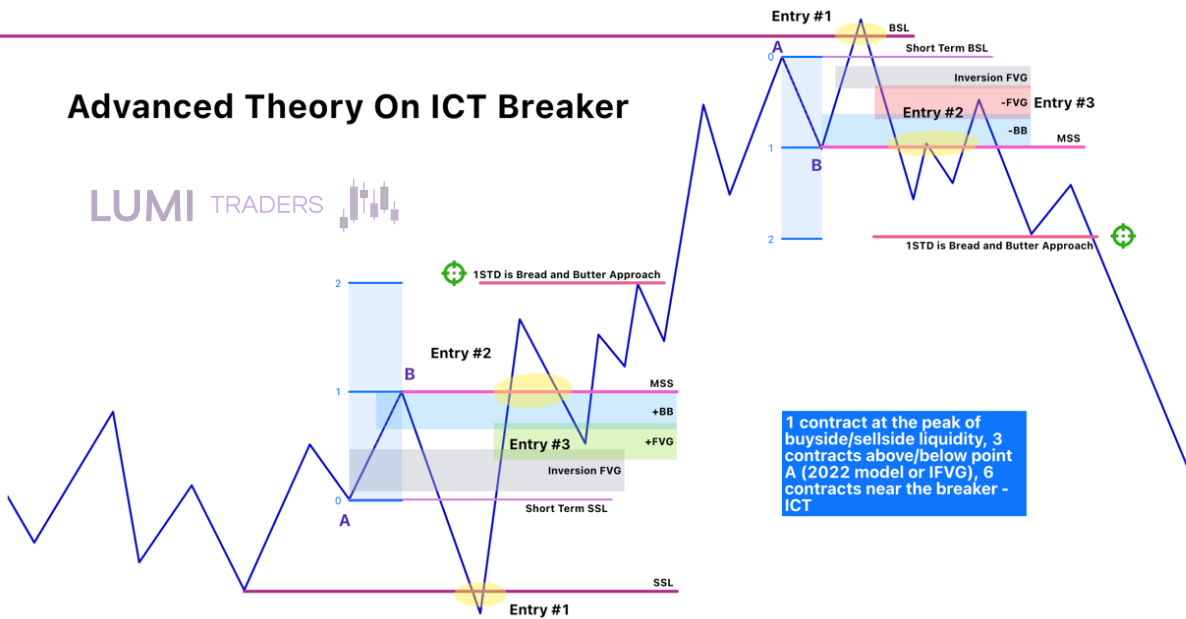
If we're bullish, the pattern we're observing could indicate a reversal or continuation in an existing bull market. This can be used on an intraday basis across different time frames, but it's essential to understand where liquidity exists. The best breakers are those that engage two levels of sell-side liquidity, one at the short-term low and another at a higher time frame.

To maximize the effectiveness of this approach, you can combine it with a higher time frame buy model and compare the standard deviations between points A and B with the larger liquidity pool. By understanding the overall market direction and utilizing these patterns, you can enhance your trading strategy.





Advanced Theory On ICT Breaker





Breaker Block Projection: We measure A-B leg NOT manipulation leg. Measuring AB we can get easiest bread and butter approach. We want to use 1STD as our target.

To determine entry points, we can use standard deviations based on the A to B price leg. Using Fibonacci tools, we can identify areas of interest. For example, in the example below, the one standard deviation below gives us a measured move of 4496.50. This presents an easy bread and butter setup for entry. Additionally, we can focus on the up-close candles within this price leg to further refine our buying strategy.

This approach is commonly seen in ICT recordings when he believes that the price will rise but also may experience a larger retracement.

USD



USD



We aim for a level 1 standard deviation higher/lower than A to B. Additional standard deviations (2, 3, 4, etc.) can be used if HTF liquidity supports it.